IN THE HON'BLE NATIONAL COMPANY LAW TRIBUNAL
BENCH AT CHANDIGARH

CA (CAA) No. 27/Chd/Hry/2023
(1st Motion)
Under Sections 230 to 232 of the Companies Act, 2013

IN THE MATTER OF SCHEME OF AMALGAMATION AND ARRANGEMENT OF:

OP Marketing Pvt. Ltd.
Plot No. 5, Village Bakhli, Tehsel, Pehowa,
Kurukshetra, Haryana– 13612
CIN: U52100DL2007PTC167937

... APPLICANT COMPANY NO.1/ TRANSFEROR COMPANY

AND

Sainsons Paper Industries Pvt. Ltd.
Plot No. 5, Village Bakhli, Tehsel, Pehowa,
Kurukshetra, Haryana– 13612
CIN: U21010HR1989PTC030667

... APPLICANT COMPANY NO.2/ TRANSFEREE COMPANY

Order delivered on: 28.08.2023

Coram: HON'BLE MR. HARNAM SINGH THAKUR, MEMBER (JUDICIAL)
HON'BLE MR. SUBRATA KUMAR DASH, MEMBER (TECHNICAL)

Present:-
For the Applicant Companies: Mr. Raghav Kapoor, advocate with Mr. Karan Vir Bindra, PCS for the applicant companies

Per: Subrata Kumar Dash, Member (Technical)

ORDER

This is a Joint First Motion Application filed by Applicant Companies namely; **OP MARKETING PVT. LTD**. (referred to as "Applicant Company No. 1/ Transferor Company") and **SAINSONS PAPER INDUSTRIES PVT. LTD**. (referred to as "Applicant Company No. 2/ Transferee Company"), under Section 230-232 of the Companies Act, 2013 (the Act) and other applicable provisions of the Act read with

Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016 (the Rules) in relation to the Scheme of Amalgamation between the respective companies. The said Scheme is attached as **Annexure A-1** with the Application.

2. The Transferor Company is presently is primarily engaged the business in India and abroad of traders, marketers, consultants, manufacturers, importers, exporters, buyers, sellers, dealers, agents, merchants, stockists, shippers, market research consultants, agents in relation to all kinds of goods, merchandise, live-stock and services including industrial plant and machinery, vehicles, office equipments, household equipments, metals, paper, wood, chemicals, pharmaceutical products, textile products, engineering goods, ball bearings, automobile components and products, hardware, fasteners, computer hardware, software and all other kinds of goods, merchandise and services and to establish international marketing and agency network etc.

3. The Transferee Company is presently in the business of manufacturing of all varieties of pulp, paper, duplex board from conventional and non-conventional raw material and to set up factories and to carry on the business as manufacturers of and dealers in pulp, paper and duplex boards of all kinds and articles in which pulp, paper or duplex board is used; including card board, mill-board and railway ticket board, and also of dealers in any materials or substances used in the manufacture or treatment of paper and duplex boards or pulp or of such articles used for connected therewith. etc.

4. It is submitted that the registered offices of the Applicant Company No. 1 and Applicant No. 2 are situated within the state of Haryana, therefore, the territorial jurisdiction of Applicant Companies falls with this Bench.

5. The rationale of the Scheme is given below: -

1. Reduction in multiplicity of legal and regulatory compliances;
2. Reduction in overheads, including administrative, managerial and other administrative costs;
3. Avoid duplication of efforts
4. Create supply chain opportunities and distribution network optimization
5. Scale efficiencies in cost areas such as marketing
6. The expansion of consolidated business and creation of greater value for shareholders and all other stakeholders.

6. It is stated that the Board of Directors of the Transferor Company and the Transferee Company, in their meetings held on 10.02.2023 and 25.03.2023, have considered and unanimously approved the Scheme subject to the sanction of the same by this Tribunal. The copy of the Board Resolutions of the Transferor Companies and the Transferee Company are part of Annexures A-2, B-1 of the Application respectively.

7. The appointed date of the Scheme is 01.04.2023 as defined in Part-I, Clause 1.1.3 of Scheme of Amalgamation which is attached as Annexure A-1 of the Application.

8. It is submitted that the Scheme of Amalgamation (Annexure A-1) also takes care of the interest of the staff/workmen and employees of the Applicant Companies, by virtue of Clause 6 of the Scheme.

9. It is stated that the Applicant Companies have filed an audited financial statement as at 31.03.2022 as Annexure- A-4 and Annexure B-3, alongwith provisional financial statements as on 30.11.2022 as Annexure A-4 and Annexure B-3 of the application respectively.

10. It is further submitted that in pursuance to Section 230 and Section 232 of the Act, the Applicant Companies have filed the certificate dated 04.05.2023 issued by the Statutory Auditor of the Applicant Company No. 1 and vide certificate

dated 27.04.2023 issued by the Statutory Auditor of the Applicant Company 2 certifying that the Scheme is in compliance with the Accounting Standards under Section 133 of the Act which is attached collectively as Annexure B-2 and B-3 of the application.

11. It is further submitted by the counsel for applicant companies that the valuation report has been submitted by Haram Jit Singh, IBBI Registered Valuer, having Regn. No. IBBI/RV/06/2019/12115 which is attached as Annexure C-1 of the application. As per the valuation report dated 01.02.2023, the following share exchange ratio has been proposed:-

a) "Exchange ratio is 21 (round off upside) equity shares of Rs. 10/- each of M/s Sainsons Paper Industries Pvt. Ltd. for 1 equity shares of Rs. 10/- each of M/s OP Marketing Pvt. Ltd."

12. It is deposed by way of affidavits furnished by authorized signatories of the Applicant Companies that there are no material investigations or proceedings pending against the Applicant Companies under the Companies Act, 2013 or any other provision of law which have a material adverse effect on the sanction of the Scheme. There are no material legal proceedings against the Applicant Companies under applicable laws that adversely impact the sanction of the Scheme. (Annexure C-8 of the Application).

13. It is further deposed by the authorized representatives of Applicant Companies that the Applicant Companies are not regulated or governed by the Securities and Exchange Board of India (SEBI), Reserved Bank of India, Competition Commission of India (CCI), or any other Sectorial Regulator. Thus, there are no other Sectoral Regulators to the Applicant Companies other than 1) The Ministry of Corporate Affairs, and 2) The Income Tax Department. The proposed transaction of amalgamation does not meet the threshold limits as

specified under section 5 of the Competition Act, the same does not qualify as a 'Combination' under the Competition Act and will not require any filing of the notice or obtaining approval from CCI. The aforesaid affidavit has been attached as Annexure C-4 and C-5 of the Application)

14. It is deposed by the way of affidavit that the present Scheme of Amalgamation does not involve the reduction of share capital and that the Scheme does not provide for any arrangement with the outside creditors and thus thereby Corporate Debt restructuring is not applicable to the Scheme (Annexure C-6 and C-7 of the Application).

15. It is further stated that the Scheme does not envisage any buyback of shares. None of the Applicant Companies hold any public deposit, as on the date of the application (Annexure C-6 and C-7 of the Application).

16. The Applicant Companies have furnished the following documents:-

a) Proposed Scheme (Annexure A-1 of the application).

b) The Certificate of Incorporation along with Memorandum and Articles of Association of applicant companies. (Annexure A-3 & B-2, respectively of the Application)

c) List of Equity Shareholders of the Applicant Company as on 25.03.2023 duly certified by D. V. Mittal & Co., Chartered Accountants along with consent furnished by way of affidavits (Annexure A-5 of the application).

d) List of Secured and Unsecured Creditors of Applicant Company No. 1 duly certified by D. V. Mittal & Co., Chartered Accountants dated 25.03.2023 alongwith consent affidavits (Annexures A-7 and A-8 of the application).

e) List of Equity Shareholders of the Applicant Company No. 2 as on 15.02.2023 by Gandhi Minocha & Co., Chartered Accountants along with consents furnished by way of affidavits (Annexure B-4 of the application).

f) List of Secured and Unsecured Creditors of the Applicant Company No. 2 dated 25.03.2023 duly certified by Gandhi Minocha & Co., Chartered Accountants along with consent furnished by way of affidavits (Annexure B-5 and B-6, respectively of the application).

g) Certificates of Statutory Auditors to the effect that accounting treatment proposed in the Scheme is in conformity with Section 133 of the Act (Annexure C-2, & C-3 of the application).

h) Proposed Share Exchange Ratio (Annexure A-11 of the application).

i) Audited Financial Statement as on 31.03.2022 of the applicant companies (Annexures A-4, and B-3 of the application).

j) Provisional Financial Statement as on 30.11.2022 of the applicant companies (Annexures A-4, and B-3 of the application).

k) Affidavit with regard to the Sectoral Regulator of the applicant companies (Annexure C-4 and C-5 of the application).

17. The Applicant Companies have furnished the details of the Equity Shareholders, Preference Shareholders, Secured Creditors, Unsecured Creditors, and Debenture holders as follows:-

18. Accordingly, the directions of this Bench in the present case are as under:

I. <u>In relation to Applicant Company No. 1/Transferor Company</u>:

a. The meetings of the Equity Shareholders are dispensed with keeping in view the shareholding pattern, financial structure of the company, and the fact that the consent by way of affidavits has been received;

b. Since there are no Secured and Unsecured Creditors in Applicant Company No. 1, therefore, there is no scope for any meeting ;

c. The meetings of Unsecured Creditors in Applicant Company No. 1, are dispensed with keeping in view the fact that the consent by way of affidavits has been received.

II. <u>In relation to Applicant Company No. 2/Transferee Company:</u>

a. The meetings of the Equity Shareholders are dispensed with keeping in view the shareholding pattern, financial structure of the company, and the fact that the consent by way of affidavit has been received;

b. The meetings of secured Creditors in Applicant Company No. 1, are dispensed with keeping in view the fact that the consent by way of affidavits has been received.

c. The meetings of Unsecured Creditors in Applicant Company No. 1, are dispensed with keeping in view the fact that the consent by way of affidavits has been received.

19. In view of the above, the First Motion Application stands allowed by giving liberty to the Applicant Companies to file Second Motion Petition with a direction that the Applicant Companies shall make specific prayer for sending notices to the (a) Central Government through Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi, (b) concerned Registrar of Companies; (c) Official Liquidator; and (d) Income Tax Authorities by disclosing the PAN numbers of all the Applicant Companies in the title of the Second Motion Petition.

Sd/-

(Subrata Kumar Dash)
Member (Technical)

Sd/-

(Harnam Singh Thakur)
Member (Judicial)

August 28, 2023
SA/PRF